inflation at 9.9 per cent due to higher input costs being passed on to consumers. Household goods and personal products have inflation above 7 per cent, which is likely to dampen the demand for consumer goods. In August, the RBI had raised repo rates by a further 50 basis points, taking the rate at which it lends to commercial banks to 5.4 per cent. However, inflation has remained much above its target upper limit of 6 per cent, breaching that mark for eight months in a row, starting in January. Experts say that high inflation is a risk for growth since it creates uncertainty. Higher interest rates also dampen investment, although to a limited extent.

Then there is low capacity utilisation. A measure of the output that is realised by a manufacturing unit compared to its actual potential, capacity utilisation had dropped to less than 50 per cent during the worst period of the pandemic, amid government curbs. A survey of 800 manufacturing firms in July this year showed that they were operating at over 70 per cent of their capacity. Although this is much higher than the pandemic low of 47.3 per cent for Q1FY21 amid the Covid-induced lockdowns, it is just not enough. Capacity utilisation of 75-80 per cent needs to be sustained over three to four quarters for it to translate into an expansionary drive by the industry. Besides, there are mixed signals within sectors too. While steel and cement are witnessing an uptick, capacity utilisation in auto and consumer goods continues to lag.



"WE NEED TO SEE SUSTAINED INCREASE IN CAPACITY UTILISATION TO JUSTIFY INVESTMENT... ONLY LABOUR-INTENSIVE MANUFACTURING AND TOURISM CAN CREATE THE JOBS WE NEED"

NAUSHAD FORBES,
Co-chairman, Forbes Marshall



"ONLY IN THE LAST FINANCIAL YEAR DID WE SURPASS 2018-19 (IN SALES), BUT THE INDUSTRY HAS ALSO GONE THROUGH A VERY CHALLENGING TIME OVER THE LAST FOUR YEARS"

DEEPAK JAIN,
CMD, Lumax Industries

NO SHORT-CUTS TO RECOVERY

Not many are willing to place their bets on when the investment cycle will turn. In truth, only a sustained demand recovery can lead to a turnaround in investment. There are various factors associated with demand revival. For one, rural demand has to return, with higher farmer incomes and rural jobs. Inflation has to cool down further, for which the RBI may continue to pursue an aggressive monetary policy for the moment. Subsequently, though, as inflation softens, the central bank is expected to focus once again on growth, and allow interest rates to remain where they are. "India has breached the inflation target, but the gap is not that big," says Joshi. The need to push up interest rates is not as much from the inflation point of view as from global factors such as the Fed (US Federal Reserve) raising rates, he adds. According to Forbes, unemployment is a serious challenge and is not receiving adequate policy attention. "Only labour-intensive manufacturing and tourism have the potential to create the millions of high-quality jobs we need," he says. "Invest in the long term; so effectively implement the National Education Policy."

Deepak Jain, CMD of Lumax Industries, an auto component firm, says that overcapacity had impacted investment, but the cycle has now turned in the industry as it grew 23 per cent over last year. "Only in the last financial year did we surpass 2018-19 (in sales), but the industry has also gone through a very challenging time over the last four years, including Covid," he says, adding that the government has facilitated the PLI and the advanced chemistry cells (ACC) policy—new generation technologies for storing electric energy—which will have an impact. "The headwinds of cost of ownership, a lag in the two-wheeler segment and chip shortage continue. However, the tailwinds are the prospects of a better kind of demand and a continuous improvement in infrastructure development spend by the government," he says.

According to Jain, the economy is seeing a K-shaped recovery, and the bigger five or six business houses have taken larger bets. He believes that this will trickle down into the ecosystem. Not everyone is optimistic. Vyas is of the view that the poor investment is of concern since India is losing out on an opportunity. "If corporates have got money and are not investing, we should tax them and utilise the money for building infrastructure," he adds.

The economy seems to be caught in a strange loop. Corporates are waiting for better demand and higher capacity utilisation. At the same time, unless there is more investment and capacities, there will be fewer jobs and slower economic recovery. One way out of the dilemma would be for companies to take more calculated risks that would kick in a series of investments. On its part, the Centre would do well to continue its targeted approach towards incentivising production, for that additional push to investments. Without such measures, corporates will continue to be in a prolonged state of caution, which cannot augur well for India's economic recovery. ■